Home bias and international risk sharing: Twin puzzles separated at birth - Notes

May 15, 2026

How can countries smooth consumption? (p.588)

$$\text{GNI} = \text{GDP} + r_d A_d - r_f A_f \tag{1}$$
$$\text{Consumption} = \text{GNI} - \text{Gross National Saving} \tag{2}$$

- Borrowing/ lending against idiosyncratic shocks (via savings)
- Stabilize GNI buy diversifying asset portfolio (if possible, see Home Bias discussion with Juan Pablo)

Possible Extensions

- ...